

EU AI Act

The European Union's horizontal, risk-tiered regulation of artificial intelligence systems

GLOSSARY 06 - SHEET 2 / 8

PROFESSIONAL DEFINITION

The EU AI Act is Regulation (EU) 2024/1689, a horizontal regulation applying to any AI system placed on the Union market or whose output is used in the Union, regardless of the provider's place of establishment. It assigns obligations according to four risk tiers - unacceptable, high, limited and minimal - with separate obligations for general-purpose AI models, and it distinguishes the duties of providers from those of deployers (European Parliament and Council, 2024).

WHO DEFINED IT ORIGINALLY

Proposed by the European Commission in April 2021, negotiated between the European Parliament and the Council, and adopted as Regulation (EU) 2024/1689, published in the Official Journal on 12 July 2024. Its risk-based architecture draws on the New Legislative Framework for product safety and, in the academic commentary, on Veale and Zuiderveen Borgesius (2021).

WHY THIS DEFINITION WAS DEVELOPED

The Union sought an instrument that would neither suppress low-risk innovation nor leave dangerous applications unregulated, and that would apply across sectors rather than requiring separate rules for medical devices, finance and employment. Tiering the obligations by risk concentrated the compliance burden where harm potential is greatest.

FIGURE 1 - THE FOUR-TIER RISK PYRAMID



Figure 1. Obligations scale with the tier, and the great majority of AI systems fall in the lowest tier. Classification is by intended purpose and context of use, not by the technology employed, so the same model may sit in different tiers in different applications (after Regulation (EU) 2024/1689).

HOW IT IS USED

Classify each system by tier and by role - provider or deployer - then apply the corresponding duties: prohibition, conformity assessment and post-market monitoring, transparency obligations, or none.

WHEN IT IS USED

At AI project intake, before procurement, at any material modification or repurposing of a system, and on the phased application dates as successive provisions enter into force.

BY WHOM IT IS USED

Legal and compliance functions, chief AI officers and risk managers, product owners of AI systems, procurement teams assessing vendor conformity, and national market surveillance authorities.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

The predecessor approach combined sector-specific regulation with non-binding principles such as the OECD Recommendation. The Act is horizontal, so a single classification serves across sectors, and it is binding and enforceable, with penalties for prohibited practices reaching the higher of a fixed ceiling or a percentage of worldwide annual turnover. Its extraterritorial reach, following the GDPR model, makes it consequential for non-EU providers whose output is used in the Union.

RELATED DEFINITIONS IN THIS COURSE

Artificial Intelligence - Unit 1

AI Governance - Unit 6

Trustworthy AI - Unit 6

AI Literacy - Unit 2

Human-in-the-Loop - Unit 2

SOURCES (HARVARD REFERENCING STYLE)

European Commission (2021) Proposal for a Regulation laying down harmonised rules on artificial intelligence, COM(2021) 206 final. Brussels: European Commission.

European Parliament and Council (2024) Regulation (EU) 2024/1689 laying down harmonised rules on artificial intelligence. Official Journal of the European Union, L, 12 July 2024.

Veale, M. and Zuiderveen Borgesius, F. (2021) 'Demystifying the draft EU Artificial Intelligence Act', Computer Law Review International, 22(4), pp. 97-112.

Verification note: this term also appears as a framework sheet in MARTI301 Slibrary 1. The Act applies in phases, with different provisions entering into force on different dates, and implementing acts and harmonised standards continue to be issued. Verify the applicable dates and the current text of any Article against EUR-Lex before relying on it in assessed work.